

MINOR PROJECT 1 – IPO ANALYSIS

HYUNDAI MOTOR INDIA LIMITED IPO

A. IPO ANALYSIS

1. Company Name

Hyundai Motor India Limited (HMIL) is one of the leading passenger car manufactures in India. It enjoys a strong presence in hatchback cars, sedans, SUVs and now even focusing on electric vehicles.

2. Industry

Automobile industry - Passenger Vehicles, SUVs and Electric Vehicles.

Indian automobile market is very competitive, where companies compete on pricing, technology, designs, fuel efficiency and EV capability. Hyundai is very strong in this market because of its established brand and product portfolio.

3. IPO size

IPO size was ₹27,870.16 crore, thus being the largest IPO in India up to that point. The issue consisted of complete Offer for Sale of around 14.22 crore shares of Hyundai Motor India by its parent company Hyundai Motor Company.

Being an OFS, the proceeds of the issue did not come to the Hyundai Motor India for business expansion. The proceeds went to the selling shareholder. Thus, from the point of view of investment banking, this IPO was about stake dilution and public listing, not about capital raising.

4. Issue Price

Issue Price range was ₹1,865 - ₹1,960, where the issue price was finally fixed at ₹1,960 per share. Issue price was the price at which the investors were offered the shares. At this price, investors were valuing the future growth, profitability and market position of Hyundai India.

5. Listing Price

The price at which shares were listed on NSE was approximately ₹1,934 as against ₹1,960 issue price.

Thus, instead of listing gain, the stock faced listing loss of around 1.33%. This shows us that even with a strong and established brand, IPO investors might not earn from the listing immediately.

6. Current Price

According to the data considered in this project, the stock was trading at approximately ₹2,204.70 as on 25 August 2026.

In comparison to the issue price of ₹1,960, the stock appreciated over the long run. This is the reason why investors should not consider only the listing performance of the IPO and should also look at the fundamentals of the company.

7. Subscription

The IPO was subscribed 2.37 times.

QIBs: approximately 6.97× times,

Retail investors: approximately 0.50× times.

The difference is quite noticeable. The high subscription of QIBs means their interest, while low retail subscription shows that individual investors were more careful due to the valuation of the IPO and the absence of fresh issue.

From the point of view of investment banking, the subscription level is helpful to understand the demand of the investors for the issue.

8. Purpose of the IPO

The IPO was a pure Offer for Sale of the shares of Hyundai Motor India, when partial stake of Hyundai Motor Company in Hyundai Motor India was sold to the public investors.

Thus, the primary purpose was not to raise fresh funds for the expansion or debt repayment of Hyundai Motor India. But it helped the parent company to monetize its partial stake and allowed Hyundai Motor India to get public market listing.

9. Two Major Risks

1. Valuation risk:

The IPO was issued at a relatively high valuation. Therefore, investors need to see good future earnings growth of the company to justify the price. Otherwise, the stock will face pressure.

2. Automobile Industry Risk:

The automobile sector faces risks of changes in the interest rates, inflation, fuel prices, consumption, competition and customers' preferences. The fast transformation to EV sector demands continuous investments into technologies and new products.

10. My View – INVEST, but with a Long-Term Approach

My view is to **INVEST**, but with a long-term approach, not purely for listing gains.

The negative listing initially showed that the IPO was not attractive for the investors who were interested in fast listing gains. But, there are many strengths of Hyundai such as an established brand, strong presence in Indian passenger car market, diverse product portfolio and potential in SUVs and EVs.

Another point in favor of this stock is that the current price considered in this analysis is higher than the issue price of ₹1,960. Thus, the investors, who stayed invested after the listing day, could benefit from further price movements.

However, I would not advise investing at any valuation without thinking. Before investment, I would analyze the earnings growth, profit margins, valuation multiples, market share, EV strategy and competitive position of the company.

B. ASSIGNMENT

1. What is an IPO?

IPO is an abbreviation for the term “Initial Public Offering”. IPO is the process whereby a private or unlisted company offers its shares to the general public for the first time and gets listed on stock exchanges.

2. Why do companies undertake IPO?

Main reasons for undertaking an IPO by companies include capital raising, shareholder exits, increasing market visibility and getting listed. The money raised from IPOs may be used for expansion, debt repayments, acquisitions etc. In case of OFS, shares of existing shareholders are sold rather than fresh issue.

3. What is IPO Price?

It is the price at which the shares are offered to the investors in the IPO. The Ipo price of Hyundai Motor India was ₹1,960 per share.

4. What is Listing Price?

It is the price at which the company's shares are started to be traded on the stock exchange on the listing day. Listing price of Hyundai Motor India was about ₹1,934 on NSE, below its ₹1,960 issue price.

5. What is IPO Subscription?

The extent to which IPO has been accepted relative to the number of shares offered is known as IPO subscription. For instance, 2× subscription indicates that investors have bid twice the number of offered shares. The IPO of Hyundai Motor India got subscribed 2.37× overall.

6. Role of Investment Bankers in an IPO?

Investment bankers act as the link between the company, regulatory authorities and the investors. Their roles include valuation, drafting offer documents, designing the structure of the issue, coordinating with SEBI and stock exchanges, marketing the IPO and deciding the issue price.

7. What is Listing Gain?

The listing gain is the percentage of profits made by the investors when the listing price is more than the issue price.

Formula: Listing Gain % = $(\text{Listing Price} - \text{IPO Price}) / \text{IPO Price} \times 100$

When the listing price is less than the issue price, it leads to listing losses.

8. Any 2 recent IPOs.

2 recent Indian IPOs are:

- Ather Energy Limited IPO
- Hy-Tech Engineers Limited IPO

C. PRACTICAL QUESTION

Given:

IPO price = ₹100, Listing Price = ₹120

Listing Gain %

$$= (\text{₹}120 - \text{₹}100) / \text{₹}100 \times 100$$

$$= \text{₹}20 / \text{₹}100 \times 100$$

$$= 20\%$$

Therefore Listing Gain % = 20%